

AML, KYC and Financial Crime Procedure

Organisation	North Pennine Community Credit Union (NPCU)
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Document control note: users must confirm status and effective date before relying on a rule. Superseded documents are retained in this synthetic corpus deliberately so that retrieval pipelines can be tested for version awareness.

1. Risk-Based Approach

This section defines how North Pennine Community Credit Union (NPCU) applies risk-based approach in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
1.1	Financial-crime controls must be proportionate to the member, product, transaction and delivery-channel risk.
1.2	A low-risk member still requires core identity verification.
1.3	Higher-risk indicators require enhanced review rather than arbitrary assumptions.

Control 1. Financial-crime controls must be proportionate to the member, product, transaction and delivery-channel risk. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. A low-risk member still requires core identity verification. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Higher-risk indicators require enhanced review rather than arbitrary assumptions. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

2. Customer Due Diligence

This section defines how North Pennine Community Credit Union (NPCU) applies customer due diligence in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
2.1	Identity and address information must be verified using approved sources before the relationship is fully activated.
2.2	Beneficial ownership must be understood where relevant.
2.3	Material inconsistencies must be resolved or escalated.

Control 1. Identity and address information must be verified using approved sources before the relationship is fully activated. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Beneficial ownership must be understood where relevant. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Material inconsistencies must be resolved or escalated. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

3. Sanctions and Screening

This section defines how North Pennine Community Credit Union (NPCU) applies sanctions and screening in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
3.1	Members and relevant parties must be screened using approved services at onboarding and through ongoing controls.
3.2	Potential matches require trained review before adverse action.

Ref	Key requirement
3.3	Screening alerts and dispositions must be auditable.

Control 1. Members and relevant parties must be screened using approved services at onboarding and through ongoing controls. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Potential matches require trained review before adverse action. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Screening alerts and dispositions must be auditable. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

4. Transaction Monitoring

This section defines how North Pennine Community Credit Union (NPCU) applies transaction monitoring in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
4.1	Unusual activity should be assessed in context rather than solely by transaction value.
4.2	Cash, rapid movement of funds, unusual third-party payments and account behaviour may create monitoring alerts.
4.3	Monitoring scenarios must be periodically tested for effectiveness.

Control 1. Unusual activity should be assessed in context rather than solely by transaction value. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Cash, rapid movement of funds, unusual third-party payments and account behaviour may create monitoring alerts. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Monitoring scenarios must be periodically tested for effectiveness. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

5. Suspicious Activity and Escalation

This section defines how North Pennine Community Credit Union (NPCU) applies suspicious activity and escalation in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
5.1	Colleagues must escalate suspicion through confidential internal channels.
5.2	Case information must not be disclosed in a way that could prejudice an investigation.
5.3	Records of consideration and outcome must be retained appropriately.

Control 1. Colleagues must escalate suspicion through confidential internal channels. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Case information must not be disclosed in a way that could prejudice an investigation. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must

be corrected promptly and considered for wider impact assessment.

Control 3. Records of consideration and outcome must be retained appropriately. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

6. Management Information

This section defines how North Pennine Community Credit Union (NPCU) applies management information in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
6.1	Financial-crime MI should include onboarding exceptions, screening alerts, monitoring alerts, case ageing and quality assurance.
6.2	Backlogs or repeated false-positive patterns require management action.
6.3	System changes affecting screening or monitoring rules require controlled testing.

Control 1. Financial-crime MI should include onboarding exceptions, screening alerts, monitoring alerts, case ageing and quality assurance. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Backlogs or repeated false-positive patterns require management action. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. System changes affecting screening or monitoring rules require controlled testing. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

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